

say that 3G and 4G technologies will prove to be the game-changers for e-commerce in India. In light of this fact, the industry assumption that close to 40 million online users will be part of the e-commerce story by 2015 seems plausible. And it's probably on this premise that investors are optimistic about pumping money into this market.

While in 2010 ecommerce witnessed a funding of \$110 million, within two years, the funding has gone beyond \$800 million, say reliable sources. The trend amply proves that India has been one large untapped e-commerce market so far. The truth is that we're witnessing an e-commerce boom – testimony to this trend is the increasing count of emails and text messages we're bombarded with daily by these e-tailers.

The industry speaks

To bring things into perspective we have the example of Kunal Bahl, co-founder of Snapdeal.com. Earlier this year, Kunal, in an interview to Knowledge@Wharton, had hoped to cross revenues of \$200 million by 2014. But he has revised his outlook now. As per his latest reaction to the same publication, Kunal is looking forward to reaching \$1 billion by 2015. He has been quoted as saying, "We did not anticipate such a growth trajectory and hence we have upped the ante and should get there comfortably."

Well, Bahl is not the only e-tailer who has set such an aggressive target. Take the case of Sachin Bansal, co-founder and CEO of Flipkart.com. Reacting after completing its fourth round of funding, Bansal has been quoted by Reuters as saying, "We are excited to complete this round of funding, which would fuel our growth plans and help us achieve our stated ambition of hitting \$1 billion in gross merchandise value by 2015." Bansal's confidence is obvious, given the funding he is managing to get, which is a result of the ecommerce industry having strong fundamentals in India.

The story so far

The mood may seem upbeat now, but when e-commerce was born in India, it had faced some really tough times. In 1999, when K Vaitheeswaran founded Fabmart.com (now IndiaPlaza), India's first e-commerce site, only a handful of the then 3 million internet users in India paid it any attention. Well, with slow and unreliable dial-up connections and text-only browsing, internet users had all the reasons to hesitate from making online financial transactions. Also, as compared to today, very few Indians had credit cards, which then were the only option for online payments.